QUARTERLY INVESTOR REPORT

Hollis Keystone Crossing | Chicago, IL

Investment	Hollis Keystone Crossing
Quarter	3Q 2019
Report Date	July 8, 2020
Sponsor	Vireo Income Properties
Occupancy	91.3%

Risk Considerations

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 6.1% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 7.8% with an equity multiple of 1.10x over the hold period. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Projected levered IRR is 3.9% with an equity multiple of 1.13x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 7.0% on contributed capital. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Leasing and Marketing

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 2th business day. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Service requests are tracked through a work-order system with an average completion time of 9 hours. Collections for the period were 91.8% of billed charges, with bad debt of 7.1% of gross potential income.

Average rent is $36 per square foot with parking at a ratio of 25 spaces per 1,000 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 9 additional team members. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Investment Overview

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Distributions to investors for the quarter were paid at an annualized rate of 6.0% on contributed capital. Projected levered IRR is 6.1% with an equity multiple of 1.45x over the hold period. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $36 per square foot with parking at a ratio of 21 spaces per 1,000 square feet. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 41 hours. Collections for the period were 96.6% of billed charges, with bad debt of 4.8% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 41 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 35th business day.

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Risk Considerations

Average rent is $36 per square foot with parking at a ratio of 7 spaces per 1,000 square feet. Distributions to investors for the quarter were paid at an annualized rate of 6.8% on contributed capital. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 13.6% with an equity multiple of 1.18x over the hold period.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 7.1% on contributed capital. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $36 per square foot with parking at a ratio of 38 spaces per 1,000 square feet.

Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 9th business day. Average rent is $36 per square foot with parking at a ratio of 9 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Service requests are tracked through a work-order system with an average completion time of 41 hours. Collections for the period were 90.4% of billed charges, with bad debt of 4.4% of gross potential income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 33 additional team members. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average rent is $36 per square foot with parking at a ratio of 10 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Investor Distributions

The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Distributions to investors for the quarter were paid at an annualized rate of 6.5% on contributed capital.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 6.6% on contributed capital. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Property Operations

Average rent is $36 per square foot with parking at a ratio of 28 spaces per 1,000 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. Collections for the period were 90.6% of billed charges, with bad debt of 4.5% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 48th business day. Service requests are tracked through a work-order system with an average completion time of 17 hours.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Collections for the period were 88.2% of billed charges, with bad debt of 7.8% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 14 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 48 additional team members.

Risk Considerations

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
ADA compliance	Life Safety	03/31/26	Q3 2025	$411,000	$373,676	In progress
Elevator modernization	Life Safety	09/22/23	Q2 2027	$114,000	$77,653	Deferred
Fence replacement	Life Safety	11/05/23	Q3 2027	$657,000	$89,961	Complete
ADA compliance	Energy	02/26/23	Q1 2027	$731,000	$680,191	Approved
Security camera upgrade	Life Safety	03/21/26	Q3 2027	$155,000	$94,237	Approved
Unit interior upgrades	Interior	09/12/26	Q4 2026	$197,000	$49,590	Deferred
Signage / monument	Interior	09/30/25	Q4 2026	$387,000	$12,673	Bidding
Water heater replacement	Site	01/09/25	Q4 2025	$201,000	$137,700	Bidding
Landscape / irrigation	Energy	10/28/24	Q4 2025	$110,000	$114,024	In progress
Water heater replacement	Interior	01/14/25	Q3 2025	$527,000	$59,928	Complete
Amenity renovation	Site	10/09/25	Q4 2027	$157,000	$64,867	In progress
HVAC replacement	Life Safety	09/23/25	Q1 2027	$876,000	$148,512	Bidding
Roof replacement - Bldg C	Site	08/23/23	Q2 2026	$530,000	$178,282	Bidding
LED lighting retrofit	Life Safety	12/19/24	Q2 2026	$527,000	$489,090	Deferred
Sewer line repair	Life Safety	04/02/25	Q2 2026	$71,000	$61,656	Deferred
HVAC replacement	Building	01/15/23	Q3 2027	$646,000	$487,057	Bidding
Elevator modernization	Energy	12/12/23	Q2 2025	$536,000	$385,251	In progress
Fence replacement	Interior	04/09/26	Q1 2027	$897,000	$610,838	In progress
HVAC replacement	Life Safety	10/16/24	Q3 2027	$290,000	$9,215	In progress
Fence replacement	Interior	06/01/23	Q1 2026	$206,000	$201,699	In progress
Amenity renovation	Building	04/06/26	Q1 2027	$477,000	$146,789	Deferred
Security camera upgrade	Energy	09/30/24	Q1 2025	$265,000	$39,499	Approved
LED lighting retrofit	Interior	10/05/24	Q1 2026	$279,000	$78,265	Deferred
Elevator modernization	Energy	05/18/24	Q3 2025	$306,000	$129,957	Deferred
Door hardware	Energy	02/14/25	Q1 2026	$166,000	$81,138	Deferred
Security camera upgrade	Life Safety	04/20/24	Q4 2025	$596,000	$65,457	Deferred
Amenity renovation	Interior	01/22/24	Q3 2026	$327,000	$9,386	Bidding
LED lighting retrofit	Building	09/12/26	Q4 2025	$349,000	$324,711	Deferred
Exterior paint	Building	07/15/23	Q3 2025	$828,000	$783,389	Bidding
Water heater replacement	Building	10/16/26	Q3 2027	$485,000	$36,838	Deferred
Roof replacement - Bldg A	Building	01/16/25	Q2 2026	$661,000	$328,060	Bidding
Pool resurfacing	Interior	01/24/24	Q4 2025	$78,000	$27,169	In progress
ADA compliance	Energy	04/17/25	Q2 2025	$758,000	$562,920	Approved
Lobby renovation	Interior	02/09/23	Q4 2027	$401,000	$292,972	Complete
Amenity renovation	Energy	05/09/24	Q2 2026	$448,000	$345,397	Deferred
Exterior paint	Interior	02/13/24	Q4 2025	$233,000	$21,897	Deferred
Fire alarm panel upgrade	Life Safety	03/31/23	Q1 2026	$480,000	$304,873	Deferred
LED lighting retrofit	Energy	12/01/24	Q1 2025	$33,000	$13,117	Bidding
Roof replacement - Bldg C	Building	12/17/25	Q3 2026	$215,000	$8,141	Bidding
Fence replacement	Life Safety	09/06/24	Q3 2026	$511,000	$384,288	In progress
Door hardware	Life Safety	08/19/25	Q2 2026	$540,000	$352,972	Bidding
Roof replacement - Bldg C	Energy	06/18/24	Q4 2027	$592,000	$160,766	Deferred

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Income and Expense Review

Average rent is $36 per square foot with parking at a ratio of 45 spaces per 1,000 square feet. Effective gross income for the trailing period was $350,000, representing a 13.2% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.69% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period.

Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $36 per square foot with parking at a ratio of 31 spaces per 1,000 square feet. The going-in capitalization rate of 8.04% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $308,000, representing a 13.6% increase over the prior year.

Supply and Demand

Investor demand for Retail assets in Chicago remains strong with recent trades at capitalization rates between 6.68% and 6.68%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The Chicago Retail market has experienced absorption of 4400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Hollis Keystone Crossing is located in Chicago, IL, a market that has recorded 9.9% population growth over the last five years. Median household income within a 4-mile radius of the property is approximately $479,000 and has grown 11.9% annually.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Employment growth is led by healthcare, logistics, education and professional services sectors. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The Chicago Retail market has experienced absorption of 900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Average rent is $36 per square foot with parking at a ratio of 8 spaces per 1,000 square feet.

Valuation Discussion

Effective gross income for the trailing period was $8,000, representing a 8.3% increase over the prior year. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Operating expenses totaled $8,000 or approximately 39.16 per square foot, with real estate taxes representing the largest line item. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $36 per square foot with parking at a ratio of 34 spaces per 1,000 square feet.

Average rent is $36 per square foot with parking at a ratio of 42 spaces per 1,000 square feet. Net operating income is projected to grow at a compound annual rate of 6.6% over the hold period. Operating expenses totaled $171,000 or approximately 32.55 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Demographics and Employment

Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Retail product stands at 6.3%, down from 5.6% two years ago. Investor demand for Retail assets in Chicago remains strong with recent trades at capitalization rates between 6.67% and 6.67%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Median household income within a 8-mile radius of the property is approximately $211,000 and has grown 13.7% annually. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Rent growth in the submarket has averaged 6.5% annually over the past 4 years. Median household income within a 5-mile radius of the property is approximately $14,000 and has grown 7.8% annually. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Hollis Keystone Crossing is located in Chicago, IL, a market that has recorded 11.6% population growth over the last five years.

Operating Performance

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$32,769	$30,303	$31,604	-$1,165	-3.6%	$957.70
5010 Loss to Lease	$275,478	$292,491	$312,280	$36,802	13.4%	$9,463.03
5020 Vacancy Loss	$229,212	$215,393	$217,522	-$11,690	-5.1%	$6,591.58
5030 Concessions	$113,577	$105,913	$112,093	-$1,484	-1.3%	$3,396.76
5040 Bad Debt	$201,824	$208,330	$209,345	$7,521	3.7%	$6,343.80
5050 Late Fees	$85,922	$79,351	$83,952	-$1,970	-2.3%	$2,544.01
5060 Utility Reimbursements	$239,623	$233,431	$242,482	$2,859	1.2%	$7,347.93
5070 Parking Income	$43,282	$46,205	$49,159	$5,877	13.6%	$1,489.68
5080 Application Fees	$127,729	$118,515	$126,327	-$1,403	-1.1%	$3,828.09
5090 Pet Rent	$47,565	$45,914	$46,585	-$980	-2.1%	$1,411.67
5100 Laundry Income	$262,706	$257,849	$258,446	-$4,261	-1.6%	$7,831.68
5110 Cable/Internet Revenue	$223,557	$214,006	$224,440	$884	0.4%	$6,801.22
5120 CAM Reimbursements	$16,429	$16,112	$16,954	$525	3.2%	$513.76
5130 Tax Reimbursements	$35,379	$36,029	$37,907	$2,528	7.1%	$1,148.69
5140 Insurance Reimbursements	$297,422	$290,795	$293,606	-$3,816	-1.3%	$8,897.14
5150 Percentage Rent	$273,082	$281,782	$291,351	$18,270	6.7%	$8,828.83
5160 Misc. Income	$82,280	$87,729	$91,051	$8,772	10.7%	$2,759.13
5170 Payroll - Management	$179,820	$189,339	$201,407	$21,587	12.0%	$6,103.25
5180 Payroll - Leasing	$17,111	$17,355	$17,398	$286	1.7%	$527.20
5190 Payroll - Maintenance	$75,271	$73,490	$75,506	$235	0.3%	$2,288.06
5200 Payroll Taxes & Benefits	$291,189	$286,481	$297,512	$6,323	2.2%	$9,015.52
5210 Repairs - Plumbing	$157,767	$149,843	$153,998	-$3,769	-2.4%	$4,666.60
5220 Repairs - HVAC	$68,288	$63,954	$66,199	-$2,089	-3.1%	$2,006.02
5230 Repairs - Electrical	$185,539	$171,602	$178,463	-$7,076	-3.8%	$5,407.97
5240 Repairs - Appliances	$106,212	$106,346	$112,059	$5,847	5.5%	$3,395.73
5250 Painting & Decorating	$20,625	$19,258	$19,288	-$1,337	-6.5%	$584.48
5260 Flooring	$33,945	$32,584	$33,062	-$883	-2.6%	$1,001.89
5270 Make-Ready / Turnover	$214,306	$219,288	$226,398	$12,091	5.6%	$6,860.53
5280 Landscaping Contract	$123,179	$127,196	$135,431	$12,252	9.9%	$4,103.97
5290 Snow Removal	$118,728	$110,376	$114,067	-$4,660	-3.9%	$3,456.58
5300 Janitorial	$107,124	$105,827	$109,608	$2,484	2.3%	$3,321.45
5310 Pest Control	$245,708	$254,210	$270,463	$24,755	10.1%	$8,195.84
5320 Trash Removal	$288,052	$288,700	$292,855	$4,803	1.7%	$8,874.40
5330 Elevator Contract	$136,132	$127,989	$134,861	-$1,271	-0.9%	$4,086.70
5340 Fire & Life Safety	$281,513	$274,395	$285,934	$4,422	1.6%	$8,664.68
5350 Security	$308,864	$319,954	$322,696	$13,832	4.5%	$9,778.68
5360 Electricity - Common	$24,465	$23,424	$24,818	$353	1.4%	$752.06
5370 Gas - Common	$167,007	$169,761	$173,768	$6,761	4.0%	$5,265.68
5380 Water & Sewer	$164,062	$163,848	$167,972	$3,910	2.4%	$5,090.06
5390 Telephone/Internet	$150,704	$147,166	$150,976	$272	0.2%	$4,575.03

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Investment Overview

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 2.3% with an equity multiple of 1.30x over the hold period. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns.

Projected levered IRR is 3.9% with an equity multiple of 1.25x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 5.0% on contributed capital. Average rent is $36 per square foot with parking at a ratio of 39 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 48th business day. Average rent is $36 per square foot with parking at a ratio of 28 spaces per 1,000 square feet. Service requests are tracked through a work-order system with an average completion time of 38 hours. Collections for the period were 88.2% of billed charges, with bad debt of 4.9% of gross potential income.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 27 additional team members. Average rent is $36 per square foot with parking at a ratio of 5 spaces per 1,000 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 29 hours.

Business Plan Progress

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 7.3% with an equity multiple of 1.39x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Distributions to investors for the quarter were paid at an annualized rate of 6.1% on contributed capital.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Average rent is $36 per square foot with parking at a ratio of 14 spaces per 1,000 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Distributions to investors for the quarter were paid at an annualized rate of 3.4% on contributed capital.

Management Commentary

Collections for the period were 89.4% of billed charges, with bad debt of 7.2% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 45 additional team members. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Average rent is $36 per square foot with parking at a ratio of 8 spaces per 1,000 square feet.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 34th business day. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. Service requests are tracked through a work-order system with an average completion time of 36 hours.

Business Plan Progress

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Amenity renovation	Life Safety	01/14/26	Q2 2025	$795,000	$68,494	Approved
Fence replacement	Building	10/18/25	Q4 2027	$253,000	$183,363	Bidding
Water heater replacement	Interior	05/12/23	Q3 2025	$490,000	$192,203	Complete
Landscape / irrigation	Building	06/15/25	Q1 2027	$413,000	$426,098	Bidding
Fire alarm panel upgrade	Building	02/23/25	Q3 2027	$837,000	$482,637	Approved
LED lighting retrofit	Building	09/04/24	Q3 2025	$500,000	$224,803	Approved
Unit interior upgrades	Building	05/16/24	Q4 2026	$239,000	$210,393	Deferred
LED lighting retrofit	Building	02/10/26	Q2 2027	$475,000	$241,094	In progress
Elevator modernization	Interior	10/07/24	Q4 2026	$223,000	$226,524	In progress
Sewer line repair	Building	08/23/23	Q2 2025	$830,000	$241,161	In progress
Storefront glazing	Interior	07/13/23	Q4 2027	$373,000	$49,553	Approved
Security camera upgrade	Site	09/13/23	Q1 2027	$687,000	$170,857	Approved
Fire alarm panel upgrade	Life Safety	01/03/25	Q2 2026	$520,000	$364,327	Bidding
Fire alarm panel upgrade	Energy	01/29/26	Q4 2025	$395,000	$334,772	Complete
Water heater replacement	Site	04/14/24	Q2 2025	$470,000	$313,175	Approved
Unit interior upgrades	Life Safety	12/07/23	Q3 2026	$117,000	$76,817	Deferred
Amenity renovation	Site	12/31/26	Q3 2026	$492,000	$125,605	Approved
Door hardware	Interior	11/27/25	Q2 2025	$210,000	$11,067	In progress
Exterior paint	Site	08/17/25	Q4 2027	$582,000	$529,899	Approved
Signage / monument	Interior	02/27/24	Q4 2027	$556,000	$30,687	In progress
Security camera upgrade	Life Safety	09/26/23	Q3 2026	$796,000	$7,479	Approved
ADA compliance	Site	11/01/24	Q4 2025	$181,000	$76,215	Complete
LED lighting retrofit	Site	04/29/26	Q2 2025	$25,000	$8,690	Bidding
Sewer line repair	Site	02/13/26	Q1 2027	$615,000	$185,419	Bidding
Landscape / irrigation	Building	06/25/26	Q1 2027	$685,000	$372,484	Approved
Parking lot resurfacing	Site	01/25/26	Q3 2027	$521,000	$376,503	Approved
Parking lot resurfacing	Life Safety	07/14/25	Q3 2025	$81,000	$52,639	Complete
HVAC replacement	Interior	04/15/25	Q2 2027	$328,000	$234,369	Complete
Security camera upgrade	Life Safety	04/18/23	Q4 2026	$262,000	$128,534	Complete
Parking lot resurfacing	Life Safety	06/11/26	Q2 2025	$771,000	$551,354	Bidding
LED lighting retrofit	Interior	12/26/23	Q1 2025	$178,000	$131,502	Deferred
Pool resurfacing	Life Safety	09/15/25	Q3 2027	$843,000	$572,855	Approved
Fire alarm panel upgrade	Life Safety	07/15/24	Q4 2027	$784,000	$757,999	Deferred
Water heater replacement	Interior	06/18/23	Q3 2027	$79,000	$59,343	Bidding
Fire alarm panel upgrade	Site	01/15/25	Q1 2025	$535,000	$92,477	In progress
Sewer line repair	Building	10/10/26	Q4 2025	$575,000	$163,053	Approved
Fire alarm panel upgrade	Interior	11/29/23	Q2 2027	$292,000	$293,008	In progress
Exterior paint	Building	07/31/25	Q3 2025	$757,000	$301,248	Bidding
Roof replacement - Bldg A	Energy	05/05/25	Q1 2025	$487,000	$259,170	Approved
Pool resurfacing	Life Safety	01/05/24	Q2 2025	$735,000	$769,044	Bidding
Sewer line repair	Energy	02/22/26	Q4 2025	$17,000	$976	Approved
Roof replacement - Bldg A	Site	12/18/25	Q1 2027	$272,000	$48,038	Bidding

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Financial Analysis

Debt service coverage ratio was 5.60x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $460,000, representing a 2.5% increase over the prior year. The going-in capitalization rate of 8.03% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $22,000 or approximately 33.69 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period.

Operating expenses totaled $328,000 or approximately 47.29 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $36 per square foot with parking at a ratio of 39 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Supply and Demand

Investor demand for Retail assets in Chicago remains strong with recent trades at capitalization rates between 8.16% and 8.16%. The Chicago Retail market has experienced absorption of 2200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Hollis Keystone Crossing is located in Chicago, IL, a market that has recorded 8.2% population growth over the last five years. Average rent is $36 per square foot with parking at a ratio of 12 spaces per 1,000 square feet.

Investor demand for Retail assets in Chicago remains strong with recent trades at capitalization rates between 5.54% and 5.54%. Market vacancy for comparable Retail product stands at 9.5%, down from 3.1% two years ago. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Average rent is $36 per square foot with parking at a ratio of 46 spaces per 1,000 square feet.

Financial Analysis

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Debt service coverage ratio was 7.30x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $307,000 or approximately 38.28 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.10% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $396,000, representing a 7.1% increase over the prior year.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $36 per square foot with parking at a ratio of 32 spaces per 1,000 square feet. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. Operating expenses totaled $328,000 or approximately 33.45 per square foot, with real estate taxes representing the largest line item.

Supply and Demand

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 7.4% annually over the past 4 years. Average rent is $36 per square foot with parking at a ratio of 48 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Median household income within a 2-mile radius of the property is approximately $467,000 and has grown 7.3% annually.

Investor demand for Retail assets in Chicago remains strong with recent trades at capitalization rates between 5.13% and 5.13%. Employment growth is led by healthcare, logistics, education and professional services sectors. The Chicago Retail market has experienced absorption of 700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rent growth in the submarket has averaged 6.6% annually over the past 8 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Financial Analysis

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5420 Office Supplies	$144,046	$143,737	$153,485	$9,438	6.6%	$4,651.05
5430 Legal & Professional	$208,181	$211,372	$213,878	$5,698	2.7%	$6,481.16
5440 Accounting & Audit	$52,858	$54,673	$58,270	$5,411	10.2%	$1,765.75
5450 Licenses & Permits	$233,683	$220,067	$234,310	$626	0.3%	$7,100.30
5460 Management Fee	$205,865	$189,413	$200,968	-$4,897	-2.4%	$6,089.94
5470 Property Insurance	$100,526	$97,995	$101,838	$1,311	1.3%	$3,085.99
5480 Real Estate Taxes	$118,145	$126,893	$127,958	$9,813	8.3%	$3,877.52
5490 Asset Management Fee	$127,225	$120,866	$127,391	$166	0.1%	$3,860.34
5500 Replacement Reserves	$16,505	$15,568	$15,938	-$567	-3.4%	$482.96
5510 Roof Repairs	$269,761	$263,368	$268,651	-$1,110	-0.4%	$8,140.92
5520 Parking Lot Repairs	$269,589	$270,755	$285,709	$16,120	6.0%	$8,657.84
5530 Signage	$152,850	$162,484	$172,772	$19,922	13.0%	$5,235.51
5540 Tenant Improvements	$229,610	$219,191	$230,949	$1,339	0.6%	$6,998.46
5550 Leasing Commissions	$259,984	$249,764	$265,453	$5,469	2.1%	$8,044.04
5000 Gross Potential Rent	$145,610	$144,624	$153,890	$8,280	5.7%	$4,663.33
5010 Loss to Lease	$207,461	$208,834	$209,208	$1,747	0.8%	$6,339.65
5020 Vacancy Loss	$218,215	$213,511	$222,644	$4,429	2.0%	$6,746.78
5030 Concessions	$192,158	$188,845	$194,997	$2,838	1.5%	$5,908.99
5040 Bad Debt	$154,474	$144,717	$147,313	-$7,161	-4.6%	$4,464.03
5050 Late Fees	$205,972	$214,299	$214,367	$8,396	4.1%	$6,495.98
5060 Utility Reimbursements	$58,579	$61,600	$65,747	$7,169	12.2%	$1,992.34
5070 Parking Income	$118,569	$109,177	$110,491	-$8,079	-6.8%	$3,348.20
5080 Application Fees	$146,890	$158,120	$165,785	$18,896	12.9%	$5,023.80
5090 Pet Rent	$263,904	$252,788	$260,267	-$3,637	-1.4%	$7,886.87
5100 Laundry Income	$205,187	$216,165	$224,255	$19,068	9.3%	$6,795.61
5110 Cable/Internet Revenue	$215,650	$229,844	$243,911	$28,261	13.1%	$7,391.25
5120 CAM Reimbursements	$289,193	$290,255	$296,873	$7,680	2.7%	$8,996.14
5130 Tax Reimbursements	$89,620	$91,992	$94,271	$4,651	5.2%	$2,856.71
5140 Insurance Reimbursements	$221,318	$232,738	$247,711	$26,393	11.9%	$7,506.40
5150 Percentage Rent	$230,158	$221,881	$229,488	-$670	-0.3%	$6,954.18
5160 Misc. Income	$110,012	$110,018	$112,830	$2,818	2.6%	$3,419.10
5170 Payroll - Management	$57,468	$57,901	$59,525	$2,057	3.6%	$1,803.78
5180 Payroll - Leasing	$145,314	$142,789	$147,953	$2,639	1.8%	$4,483.42
5190 Payroll - Maintenance	$190,135	$187,536	$198,706	$8,571	4.5%	$6,021.40
5200 Payroll Taxes & Benefits	$234,688	$242,028	$242,576	$7,888	3.4%	$7,350.78
5210 Repairs - Plumbing	$149,471	$159,527	$168,381	$18,910	12.7%	$5,102.45
5220 Repairs - HVAC	$285,917	$294,132	$307,665	$21,748	7.6%	$9,323.17
5230 Repairs - Electrical	$245,685	$239,539	$239,945	-$5,740	-2.3%	$7,271.06
5240 Repairs - Appliances	$150,832	$158,139	$163,473	$12,641	8.4%	$4,953.73
5250 Painting & Decorating	$182,007	$168,876	$176,371	-$5,636	-3.1%	$5,344.59
5260 Flooring	$44,239	$44,763	$46,119	$1,880	4.2%	$1,397.54
5270 Make-Ready / Turnover	$243,034	$236,656	$248,133	$5,099	2.1%	$7,519.19

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Risk Considerations

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Average rent is $36 per square foot with parking at a ratio of 46 spaces per 1,000 square feet. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Projected levered IRR is 3.3% with an equity multiple of 1.30x over the hold period.

Leasing and Marketing

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 25 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 90.0% of billed charges, with bad debt of 7.6% of gross potential income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average rent is $36 per square foot with parking at a ratio of 21 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Service requests are tracked through a work-order system with an average completion time of 45 hours.

Investor Distributions

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $36 per square foot with parking at a ratio of 27 spaces per 1,000 square feet. Distributions to investors for the quarter were paid at an annualized rate of 6.4% on contributed capital. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Management Commentary

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 28 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 20th business day. Average rent is $36 per square foot with parking at a ratio of 5 spaces per 1,000 square feet. Collections for the period were 93.5% of billed charges, with bad debt of 3.9% of gross potential income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The manager completes a monthly walk of the property and submits a variance report to the owner by the 7th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 47 hours. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Risk Considerations

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 3.7% on contributed capital. Projected levered IRR is 12.8% with an equity multiple of 1.15x over the hold period. Average rent is $36 per square foot with parking at a ratio of 43 spaces per 1,000 square feet. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Projected levered IRR is 3.0% with an equity multiple of 1.8x over the hold period. Average rent is $36 per square foot with parking at a ratio of 9 spaces per 1,000 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 7.9% on contributed capital. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

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